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SUPPLEMENTARY SUBMISSION

Office of the Comptroller of the Currency

Notice of Proposed Rulemaking: Payment Stablecoin Issuers

Docket ID OCC–2025–0372 · RIN 1557–AF41

May 20, 2026

I. Purpose

DDCP Foundation, Inc. (“DDCP Foundation”) submits this supplementary comment on Docket OCC-2025-0372, supplementing its comment filed May 1, 2026 (Comment ID OCC-2025-0372-0257, the “May 1 Comment”). This submission addresses three items.

First, Section III.B of the May 1 Comment states that “DDUSD, LLC does not possess the technological capability to comply with such an order at the protocol layer” with respect to non-custodial wallet addresses, and that “the same structural limitation applies to every public blockchain stablecoin issuer.” The first statement describes a capability gap; there is none. DDUSD, LLC will possess the technological capability to comply with any lawful order requiring action with respect to tokens held at Financial Intermediary layer entities or persons identifiable through their KYC/KYB records — the compliance architecture for that population is complete. Whether section 4(a)(6)(B) additionally requires protocol-level override capability against self-custody wallets is a matter of statutory interpretation. The second statement is factually incorrect as a description of public blockchain technology: some payment stablecoin issuers have implemented centralized administrative keys with post-issuance override capability over self-custody wallet addresses. This submission corrects both.

Second, the May 1 Comment develops Executive Order 14178 primarily as an interpretive constraint on “technological capability” under section 4(a)(6)(B) — a basis for reading the compliance requirement narrowly. This submission adds the affirmative dimension of that argument: that a licensing condition requiring a centralized administrative key would produce a standing override capability that EO 14178 and cumulative Congressional intent identify as

affirmatively harmful, and that DDUSD’s architecture preserves digital bearer instrument properties that those authorities identify as affirmatively protected.

Third, this submission requests that the OCC confirm that any PPSI implementing a centralized administrative key with post-issuance freeze capability over self-custody wallet addresses is required to exercise that capability exclusively pursuant to a lawful order meeting the GENIUS Act section 2(16) definition.

All other positions in the May 1 Comment are confirmed without modification.

II. The Self-Custody Wallet Question

A. The Scope of DDUSD, LLC’s Compliance Capability Under Section 4(a)(6)(B)

Throughout this submission, “self-custody wallets” refers to the non-custodial wallet addresses as that term is used in the May 1 Comment: wallet addresses at which the holder controls the private key directly, without a custodial intermediary.

Section III.B of the May 1 Comment states that “DDUSD, LLC does not possess the technological capability to comply with such an order at the protocol layer” with respect to lawful orders directed at self-custody wallet addresses. That framing describes the position as an architectural incapacity. The more precise characterization is one of statutory scope.

DDUSD, LLC will possess the technological capability to comply with every lawful order meeting the statute’s definition — through new issuance co-signature authority and Financial Intermediary coordination, as set out in Sections III.B and III.C of the May 1 Comment. For the population of lawful orders specifying accounts held at Financial Intermediary layer entities, or persons identifiable through their KYC/KYB records, DDUSD, LLC’s compliance architecture satisfies section 4(a)(6)(B) in full. For self-custody wallet addresses, the interpretive question — whether section 4(a)(6)(B) requires a further capability to freeze tokens at non-custodial addresses — is the question this submission addresses. DDUSD, LLC’s position is that it does not, for the reasons developed below.

B. DDCP’s Architecture: A Design Choice, Not a Structural Limitation

Section III.B of the May 1 Comment states that “the same structural limitation applies to every public blockchain stablecoin issuer.” That statement is factually incorrect. Some payment stablecoin issuers have implemented centralized administrative keys with post-issuance freeze capability over wallet addresses, including self-custody wallets. Public blockchain technology does not preclude this capability.

The DDCP protocol architecture does not include a centralized administrative key. This is a principled design decision, not a technical deficiency. Building such a key would produce, as a permanent architectural feature, a standing override capability over all self-custody wallet transactions — a capability that exists independently of the specific orders that trigger its use,

persists between orders, and is operable by any party that can reach the issuer through legal process, sanctions pressure, or other compulsion. A PPSI licensing condition requiring a centralized administrative key would impose, as a condition of federal authorization, precisely the standing architectural override capability that Executive Order 14178 Section 1(a)(v) was enacted to prevent. The absence of that capability in DDCP’s architecture is a deliberate commitment grounded in that framework.

Two further concerns reinforce this design choice. First, as demonstrated by the March 2026 Circle episode, a protocol-level override function does not limit its own blast radius: sixteen wallet addresses unrelated to the underlying litigation were frozen alongside the named target, including a smart contract serving thousands of users with no connection to the dispute. Administrative error in the exercise of centralized freeze capability is not hypothetical — it is a documented consequence of architecture that operates on addresses rather than on identified persons. Second, an issuer holding a standing capability to restrict access to token balances held by users who have no recourse at the protocol layer creates structural conditions that DDCP’s architecture, which holds no such capability, avoids by design.

C. Self-Custody Wallets as Digital Bearer Instruments

Physical cash has a defining legal property: it is a bearer instrument. Possession confers the entitlement. Seizure requires physical presence and some form of legal process. No administrative action freezes cash in private possession without engaging with the holder or with property the holder controls through a financial institution.

DDUSD in a self-custody wallet has the same structure. The holder controls the private key; the tokens are under direct custody; no institutional intermediary holds them. The May 1 Comment develops EO 14178 as an interpretive constraint that narrows the reading of “technological capability to comply.” The affirmative dimension of that argument — which the May 1 Comment did not develop — is that DDUSD’s architecture is designed to preserve these bearer instrument properties, and that a licensing condition requiring a centralized administrative key would eliminate them.

Two independent authorities ground this position.

Executive Order 14178, Sections 1(a)(i) and 1(a)(v) (January 23, 2025). Section 1(a)(i) establishes as express executive policy “protecting and promoting the ability of individual citizens and private-sector entities alike to access and use for lawful purposes open public blockchain networks without persecution, including the ability to ... transact with other persons without unlawful censorship, and to maintain self-custody of digital assets.” Section 1(a)(v) directs “taking measures to protect Americans from the risks of Central Bank Digital Currencies (CBDCs), which threaten the stability of the financial system, individual privacy, and the sovereignty of the United States.” A licensing condition requiring a centralized administrative key would produce as a permanent architectural feature the capability that section 1(a)(v) identifies as threatening. The May 1 Comment establishes EO 14178 as an interpretive

constraint; this submission adds that the same framework runs affirmatively against the reading that requires the key: that reading produces the harm EO 14178 was enacted to prevent.

21st Century ROAD to Housing Act, Section 1001(c) (Senate passed 89–10, March 12, 2026). Section 1001(c) provides that the CBDC prohibition enacted by that legislation “shall not prohibit any dollar-denominated currency that is open, permissionless, and private, and fully preserves the privacy protections of United States coins and physical currency.”

Digital Asset Market Clarity Act of 2025, Section 604(C) (House passed 294–134; Senate Banking Committee passed 15–9, May 14, 2026). Section 604(C) provides, in identical language, that the CBDC prohibition in that legislation “may not be construed to prohibit any dollar-denominated currency that is open, permissionless, and private, and fully preserves the privacy protections of United States coins and physical currency.” As a dedicated digital asset market structure bill advanced by the Senate Banking Committee, which has direct oversight jurisdiction over the OCC, the CLARITY Act carries particular weight as Congressional intent on the PPSI licensing question. Neither the ROAD Act nor the CLARITY Act has yet been enacted; both are citable as evidence of Congressional policy direction.

Two independent legislative vehicles with identical language evidence a deliberate bipartisan consensus: open, permissionless, private dollar-denominated currency — currency that fully preserves the privacy protections of physical coins and currency — is a category Congress intends to protect. DDUSD is designed to be precisely this instrument. A reading of section 4(a)(6)(B) that conditions PPSI authorization on building a centralized administrative key would foreclose that category. Where “technological capability to comply” presents genuine interpretive ambiguity, EO 14178 and this cumulative Congressional intent support the reading that does not impose that condition.

These authorities address, by their terms, the protections of U.S. persons. A centralized administrative key cannot honor that limitation in practice: without KYC/KYB records for self-custody wallet holders, there is no mechanism to determine whether a given holder is a U.S. person. The key operates on addresses, not on identity. A compliance mechanism directed at self-custody wallets on the ground that some holders may not be U.S. persons therefore simultaneously subjects every U.S. person holding DDUSD in self-custody to the same override capability — without any ability to distinguish them. The protections EO 14178 and the cited legislation establish for U.S. persons are given practical effect only if self-custody wallets, as a class, are not subject to protocol-level override. That is precisely the architecture DDCP has built.

D. Architectural Pluralism

The GENIUS Act does not mandate the centralized administrative key as the exclusive permissible means of satisfying section 4(a)(6)(B). The statute specifies the outcome — compliance with lawful orders — without prescribing the mechanism. DDUSD, LLC’s compliance architecture achieves that outcome through co-signature authority and Financial

Intermediary coordination: new issuance co-signature authority enables refusal of any mint in response to a lawful order specifying the recipient address or account with the particularity the statute requires; Financial Intermediary coordination enables restriction of fiat-boundary access for specifically identified persons through the KYC/KYB records those entities hold as a condition of their own regulatory obligations. For the population of lawful orders specifying accounts held at Financial Intermediary layer entities or persons identifiable through their KYC/KYB records, this architecture delivers full compliance.

A reading that treats the centralized administrative key as the only permissible implementation would produce consequences the Act does not require. It would concentrate in every US-licensed stablecoin issuer simultaneously a standing override capability over all self-custody wallet transactions — the structural property the Act was enacted in the context of EO 14178’s commitment to preventing. It would eliminate the architectural diversity among payment stablecoin designs that a technology-neutral compliance standard supports. And it would impose a constraint the Act’s text does not require: the statute specifies the compliance outcome without mandating the mechanism.

We respectfully request the OCC to confirm that DDUSD, LLC’s co-signature authority and Financial Intermediary coordination model constitutes a permissible means of satisfying section 4(a)(6)(B), and that the GENIUS Act does not require a centralized administrative key as a condition of PPSI authorization.

III. Lawful Orders and Centralized Administrative Keys

The preceding section addresses what section 4(a)(6)(B) should be understood to require of DDUSD, LLC. This section addresses a separate question: what constraints should govern PPSIs that implement centralized administrative keys with post-issuance override capability over self-custody wallet addresses.

GENIUS Act section 2(16) defines “lawful order” as an order issued by a court of competent jurisdiction or by an authorized Federal agency pursuant to its statutory authority, that specifies the payment stablecoins or accounts subject to blocking with reasonable particularity, and is subject to judicial or administrative review or appeal as provided by law. Section 4(a)(6)(B) conditions PPSI authorization on the ability to comply with lawful orders as so defined. An order that does not satisfy the section 2(16) definition is not a lawful order within the meaning of the Act.

Current market practice does not consistently reflect this standard. Issuers with centralized administrative keys have, in documented instances, frozen token balances on the basis of OFAC administrative designations and informal law enforcement requests — without court orders and without the particularity and judicial review requirements that section 2(16) was written to require. DDCP Foundation does not suggest that OFAC designations are not authoritative or that cooperation with law enforcement is impermissible. The point is procedural: using a centralized

administrative key to freeze self-custody wallet balances on the basis of an instrument that does not meet the section 2(16) definition is not what section 4(a)(6)(B) authorizes, regardless of the underlying purpose.

The risks that a centralized administrative key carries when exercised outside the statute’s procedural framework extend beyond enforcement error. A capability to freeze token balances at any address, without the authorization of a court or agency acting under judicial or administrative oversight, creates structural conditions in which informal pressure, administrative mistake, or misuse can affect token holders who have no recourse at the protocol layer and no notice that their assets are at risk. The March 2026 Circle episode documented the administrative error dimension. The structural conditions for other risks are inherent in any override capability exercised without the procedural requirements that section 2(16) was written to impose.

Using an override capability outside the statute’s procedural framework also bypasses the statute’s procedural safeguards rather than satisfying them. Section 2(16)’s reasonable particularity and judicial review requirements embed substantive constraints: the government must identify the specific target with precision, and that identification is subject to review. A compliance practice that bypasses those requirements renders the procedural framework Congress enacted ineffective in practice.

We respectfully request the OCC to confirm that any PPSI implementing a centralized administrative key with post-issuance freeze capability over self-custody wallet addresses is required to exercise that capability exclusively pursuant to a lawful order meeting the section 2(16) definition — issued by a court of competent jurisdiction or by an authorized Federal agency pursuant to its statutory authority, specifying the stablecoins or accounts subject to blocking with reasonable particularity — with each exercise documented and subject to supervisory audit. We further request that the OCC coordinate with other PPSI supervisors under GENIUS Act section 13 to ensure this requirement applies uniformly regardless of a PPSI’s primary regulator.

IV. Conclusion and Confirmations Requested

DDCP Foundation submits this supplementary comment on behalf of DDUSD, LLC (in formation) as the prospective federal qualified payment stablecoin issuer. All positions in the May 1 Comment are confirmed without modification, except as corrected in Sections II.A and II.B above.

We respectfully request that the OCC address the following in the final rule or accompanying commentary:

Compliance capability — statutory scope and architectural pluralism. Confirm that DDUSD, LLC’s co-signature authority and Financial Intermediary coordination model constitutes a permissible means of satisfying section 4(a)(6)(B), and that the GENIUS Act

does not require a centralized administrative key as a condition of PPSI authorization; confirm that section 4(a)(6)(B), read consistently with Executive Order 14178’s policy framework and the cumulative Congressional intent reflected in the ROAD Act and the Clarity Act, does not require a PPSI to build protocol-level override capability against self-custody wallets; confirm that DDUSD, LLC will possess the technological capability to comply with any lawful order meeting the section 2(16) definition — through co-signature authority and Financial Intermediary coordination — for the population of orders specifying accounts held at Financial Intermediary layer entities or persons identifiable through their KYC/KYB records; and acknowledge that DDUSD, LLC will address the full scope of the self-custody wallet compliance question through the pre-application engagement process with OCC licensing staff.

Centralized administrative keys. Confirm that any PPSI implementing a centralized administrative key with post-issuance freeze capability over self-custody wallet addresses is required to exercise that capability exclusively pursuant to a lawful order meeting the section 2(16) definition — issued by a court of competent jurisdiction or by an authorized Federal agency pursuant to its statutory authority, specifying the stablecoins or accounts with reasonable particularity — with each exercise documented and subject to supervisory audit, coordinated across PPSI supervisors consistent with GENIUS Act section 13.

DDUSD, LLC intends to submit a formal application for federal qualified payment stablecoin issuer status and welcomes the opportunity to engage OCC licensing staff through the pre-application process on the questions raised in this letter and the May 1 Comment.

Respectfully submitted,

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